

conveniently forgotten. It's normally harder to stick with a winning stock after the price goes up than it is to believe in it after the price goes down. These days if I feel there's a danger of being faked out, I try to review the reasons why I bought in the first place.

THE DRUMBEAT EFFECT

This is one instance where the amateur investor is just as vulnerable to folly as the professional. We have fellow experts whispering into our ears; you have friends, relatives, brokers, and assorted financial factotums from the media.

Maybe you've received the "Congratulations: Don't Be Greedy" announcement. That's when the broker calls to say: "Congratulations, you've doubled your money on ToggleSwitch, but let's not be greedy. Let's sell ToggleSwitch and try KinderMind." So you sell ToggleSwitch and it keeps going up, while KinderMind goes bankrupt, taking all of your profits with it. Meanwhile the broker gets a commission from both sides of the transaction, so every "Congratulations" message represents a double payday.

Beyond the broker, every single dumb idea you hear about stocks gets into your brain the same way that "Warner is overextended" got into mine. These days, dumb ideas are at a deafening roar.

Every time you turn on the television there's somebody declaring that bank stocks are in and airline stocks are out, that utilities have seen their best days and savings-and-loans are doomed. If you flip around the radio dial and happen to hear the offhand remark that an overheated Japanese economy will destroy the world, you'll remember that snippet the next time the market drops 10 percent, and maybe it will scare you into selling your Sony and your Honda, and even your Colgate-Palmolive, which isn't cyclical or Japanese.

When astrologers are interviewed alongside economists from Merrill Lynch, and both say contradictory things and yet sound equally convincing, no wonder we're all confused.

Lately we've had to contend with the drumbeat effect. A particularly ominous message is repeated over and over until it's impossible to get away from it. A couple of years ago there was a drumbeat around the M-1 money supply. When I was in the Army, M-1 was a rifle and I understood it. Suddenly M-1 was this critical digit on which the entire future of Wall Street depended, and I couldn't tell you what it was. Remember One Hour Martinizing? Nobody can tell you what that is, either, and millions of dry-cleaning patrons have never asked. Maybe M-1 actually stands for Martinizing One, and some guy on the Council of Economic Advisors used to run a dry-cleaning business. Anyway, for months there was something in the news about the M-1's growing too fast, and people